Diamondback Energy Inc. (NYSE: FANG US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 190.21**
TARGET PRICE	**$ 256.66**
IMPLIED UPSIDE	**+35%**

Investment Highlights

✓ Low-cost Permian Basin production assets ✓ Disciplined capital allocation and strong free cash flow

✓ Shareholder-friendly capital return strategy ✓ Attractive operating margins and capital efficiency

✓ Discount to intrinsic value despite production growth

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EXECUTIVE SUMMARY

A. Investment Case

Diamondback Energy is a leading independent oil and natural gas producer with a concentrated asset base in the Permian Basin, the lowest-cost and most productive shale region in North America. Its disciplined capital allocation, low-cost operations and strong Free Cash Flow generation enable the company to create shareholder value across commodity price cycles. These characteristics position Diamondback Energy as a high-quality holding within the Value Stock Portfolio.

B. Key Catalysts

The investment thesis is supported by continued production growth from premium Permian acreage, operational efficiencies and disciplined capital expenditure. Revenue is forecast to increase to approximately **USD 16.8 billion by FY2027**, while operating cash flow is expected to grow to around **USD 8.2 billion** over the same period. Strong Free Cash Flow generation is expected to continue supporting dividends, share repurchases and long-term shareholder returns.

C. Financial Highlights

Diamondback Energy continues to demonstrate strong financial performance through robust production growth and cash generation. Revenue increased from **USD 4.0 billion in FY2019** to **USD 15.2 billion in FY2025**, while cash from operating activities increased from **USD 889 million** to **USD 5.9 billion** over the same period. The company also maintained attractive capital efficiency, with **Return on Capital (ROC) of 15.1% in FY2025**, highlighting its ability to generate strong returns from its high-quality asset base.

D. Valuation

The valuation analysis indicates that Diamondback Energy is trading below its intrinsic value. The Discounted Cash Flow model estimates a fair value of **USD 256.66 per share**, representing an implied upside of approximately **34.9%**relative to the current market price of **USD 190.21**. The EV/EBITDA valuation estimates a fair value of **USD 243.79 per share**, implying an upside of **28%**. The consistency between both valuation approaches reinforces confidence in the company's long-term value creation potential.

E. Recommendation Summary

Diamondback Energy exhibits the core characteristics sought within the Value Stock Portfolio through its premium Permian Basin assets, disciplined capital allocation, resilient Free Cash Flow generation and efficient operating model. Although commodity price volatility, production execution and cost inflation remain key risks, the company's financial outlook and attractive valuation continue to support the investment thesis. Given the meaningful upside indicated by both the DCF and EV/EBITDA valuations, we recommend **BUY**, as Diamondback Energy remains well positioned to deliver sustainable long-term shareholder returns.

BUSINESS ANALYSIS

A. Business Overview

Diamondback Energy is a leading independent oil and natural gas producer focused on the Permian Basin, one of the lowest-cost and most productive hydrocarbon regions in North America. The company's concentrated asset base, operational efficiency and disciplined capital allocation enable it to generate strong cash flows across commodity price cycles. Combined with its shareholder-focused capital return strategy, Diamondback Energy exhibits the characteristics of a high-quality energy company suitable for inclusion within the Value Stock Portfolio.

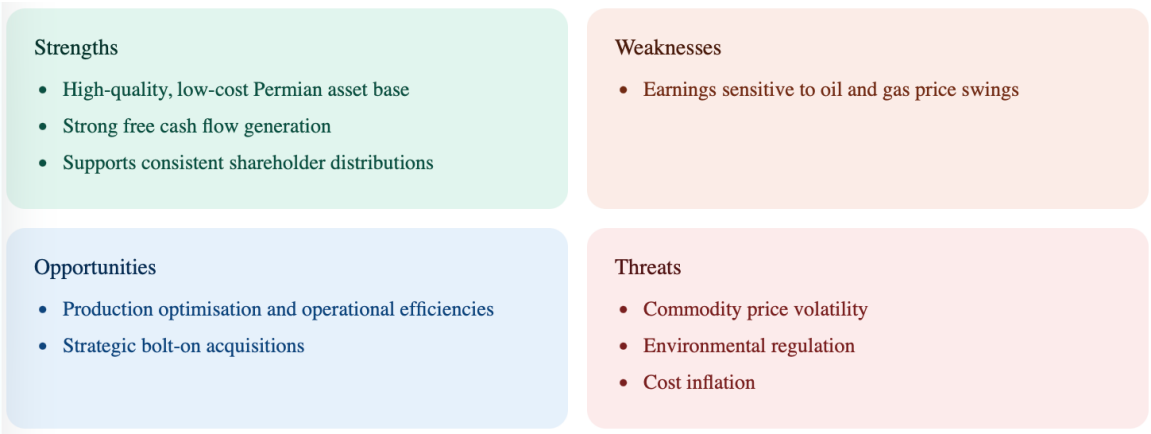
B. Strategy & Key Value Drivers

Diamondback Energy's strategy centres on disciplined production growth, operational efficiency and maximising free cash flow from its high-quality Permian acreage. Continuous improvements in drilling productivity, strategic acquisitions and efficient capital deployment support lower operating costs and higher returns on invested capital. The company's commitment to returning excess Free Cash Flow through dividends and share repurchases further strengthens long-term shareholder value.

C. Business Moat

Diamondback Energy's competitive advantage is derived from its large inventory of premium drilling locations within the Permian Basin, low-cost operating structure and economies of scale. Its concentrated acreage position enables efficient infrastructure utilisation, lower lifting costs and consistent production growth compared with higher-cost producers. These operational advantages support resilient profitability and sustainable cash generation, even during periods of commodity price volatility.

D. SWOT Analysis



INDUSTRY ANALYSIS

A. Sector Outlook

The U.S. upstream oil and gas industry continues to benefit from resilient global energy demand and disciplined capital spending by producers. The Permian Basin remains the most attractive shale region due to its low production costs, high well productivity and extensive infrastructure. Companies with high-quality acreage and efficient operations, such as Diamondback Energy, are well positioned to generate sustainable Free Cash Flow across commodity price cycles.

B. Business Cycle

The upstream energy sector is inherently cyclical, with earnings closely linked to fluctuations in crude oil and natural gas prices. While periods of weaker commodity prices can pressure revenues and profitability, producers with low-cost asset portfolios and disciplined capital allocation are better positioned to maintain profitability and cash generation throughout the cycle. Diamondback Energy's concentrated Permian operations provide greater resilience than higher-cost producers during industry downturns.

C. Supply Chain

The upstream oil and gas value chain encompasses exploration, drilling, production and transportation before hydrocarbons reach refining and end markets. Diamondback Energy primarily operates in the production segment, supported by established gathering systems, pipeline infrastructure and access to Gulf Coast export markets. Its integrated infrastructure and concentrated acreage improve operating efficiency while reducing transportation and production costs.

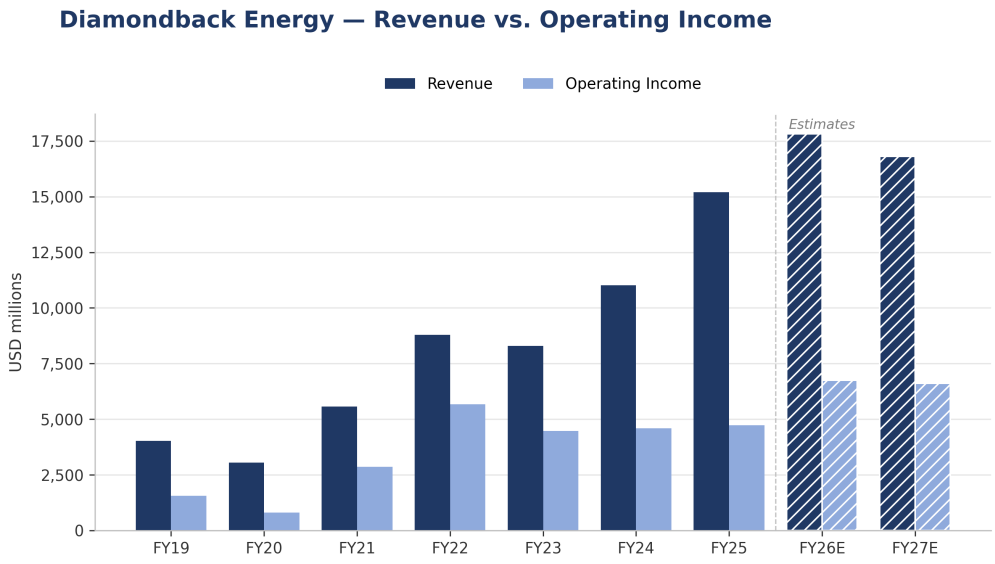
D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	Dividend Yield
FANG US Equity	DIAMONDBACK ENERGY INC	57092.53363	76983.53	7.994966624	16.07639332	2.044838677
DVN US Equity	DEVON ENERGY CORP	52053.08222	58933.08	8.755653151	11.69555208	2.304453716
PR US Equity	PERMIAN RESOURCES CORP-CL A	17842.60992	21359.43	5.618489092	16.3781339	2.910798144
APA US Equity	APA CORP	13191.50887	18378.51	3.463507159	9.075266275	2.679528403
CHRD US Equity	CHORD ENERGY CORP	7903.27931	9178.657	4.102776309	13.91417132	3.704231236

FUNDAMENTAL ANALYSIS

A. Revenue and Earnings Growth

Diamondback Energy's investment thesis is underpinned by its ability to grow production while maintaining strong profitability from its low-cost Permian Basin operations. Revenue increased from **USD 4.0 billion in FY2019** to **USD 15.2 billion in FY2025**, supported by production growth, strategic acquisitions and favourable commodity prices. Although revenue is forecast to normalise to **USD 16.8 billion by FY2027**, the company is expected to maintain strong operating profitability, with **Operating Income of approximately USD 6.6 billion**, reflecting continued operational discipline.



Diamondback Energy Inc (FANG US) - BBG Adjusted

In Millions of USD except Per Share 12 Months Ending	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026	FY 2026 Est 12/31/2026	FY 2027 Est 12/31/2027
Revenue	**4,031.0**	**3,056.0**	**5,567.0**	**8,793.0**	**8,302.0**	**11,015.0**	**15,207.0**	**15,314.0**	**17,822.3**	**16,815.4**
+ Sales & Services Revenue	3,951.0	2,806.0	6,792.0	9,566.0	8,228.0	10,143.0	13,550.0	13,696.0		
+ Other Revenue	80.0	250.0	-1,225.0	-773.0	74.0	872.0	1,657.0	1,618.0		
- Cost of Revenue	2,280.0	2,071.0	2,477.0	2,865.0	3,541.0	6,051.0	9,743.0	10,138.0		
+ Cost of Goods & Services	833.0	767.0	1,202.0	1,521.0	1,795.0	3,201.0	4,705.0	4,904.0		
+ Depreciation & Amortization	1,447.0	1,304.0	1,275.0	1,344.0	1,746.0	2,850.0	5,038.0	5,234.0		
Gross Profit	**1,751.0**	**985.0**	**3,090.0**	**5,928.0**	**4,761.0**	**4,964.0**	**5,464.0**	**5,176.0**	**14,322.7**	**13,366.9**
+ Other Operating Income	13.0	7.0	5.0	0.0	0.0	0.0	0.0	0.0		
- Operating Expenses	199.0	180.0	239.0	248.0	290.0	378.0	736.0	781.0		
+ Selling, General & Admin	104.0	88.0	146.0	144.0	150.0	213.0	288.0	294.0		
+ *General & Administrative*	*104.0*	*88.0*	*146.0*	*144.0*	*150.0*	*213.0*	*288.0*	*294.0*		
+ Research & Development	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Other Operating Expense	95.0	92.0	93.0	104.0	140.0	165.0	448.0	487.0		
Operating Income (Loss)	**1,565.0**	**812.0**	**2,856.0**	**5,680.0**	**4,471.0**	**4,586.0**	**4,728.0**	**4,395.0**	**6,751.3**	**6,619.2**
- Non-Operating (Income) Loss	174.0	205.0	190.0	87.0	59.0	34.0	-211.0	-100.0		
+ Interest Expense, Net	172.0	197.0	199.0	159.0	175.0	135.0	244.0	267.0		
+ *Interest Expense*	*172.0*	*197.0*	*199.0*	*159.0*	*175.0*	*135.0*	*244.0*	*267.0*		
- *Interest Income*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*		
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ (Income) Loss from Affiliates	6.0	10.0	-15.0	-77.0	-48.0	-21.0	—			
+ Other Non-Op (Income) Loss	-4.0	-2.0	6.0	5.0	-68.0	-80.0	-455.0	-355.0		
Pretax Income (Loss), Adjusted	**1,391.0**	**607.0**	**2,666.0**	**5,593.0**	**4,412.0**	**4,552.0**	**4,939.0**	**4,495.0**	**6,397.5**	**6,272.6**

B. Balance Sheet Strength

Diamondback Energy has maintained a disciplined balance sheet despite executing large-scale acquisitions and capital investment programmes. Cash and cash equivalents stood at **USD 1.67 billion in FY2019** and **USD 157 million in FY2025**, reflecting capital deployment towards acquisitions,

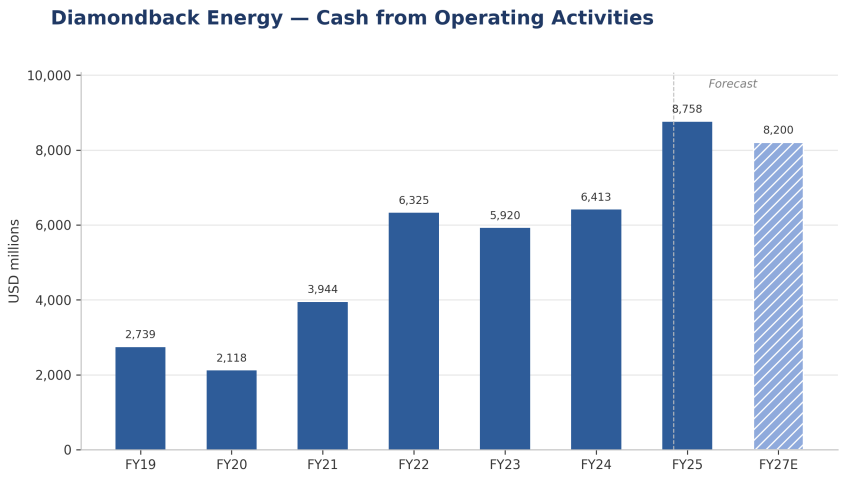
shareholder distributions and development activities rather than excess cash accumulation. The company's financial flexibility continues to be supported by strong operating cash generation and disciplined capital allocation.

Diamondback Energy Inc (FANG US) - Standardized

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Total Assets										
+ Cash, Cash Equivalents & STI	1,666.6	112.4	214.5	123.0	104.0	654.0	157.0	582.0	161.0	104.0
+ Cash & Cash Equivalents	1,666.6	112.4	214.5	123.0	104.0	654.0	157.0	582.0	161.0	104.0
+ ST Investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Accounts & Notes Receiv	119.8	231.6	392.1	615.0	337.0	670.0	722.0	846.0	1,585.0	1,386.0
+ Accounts Receivable, Net	119.8	231.6	392.1	615.0	337.0	670.0	722.0	846.0	1,585.0	1,386.0
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inventories	2.0	9.1	37.6	37.0	33.0	62.0	67.0	63.0	116.0	86.0
+ Other ST Assets	3.8	5.4	280.9	94.0	128.0	60.0	446.0	130.0	248.0	339.0
+ Prepaid Expenses	—	—	—	10.0	—	—	—	—	—	—
+ Derivative & Hedging Assets	0.0	0.5	230.5	46.0	1.0	13.0	132.0	17.0	168.0	234.0
+ Deferred Tax Assets	0.0	0.0	—	—	—	—	—	—	—	—
+ Taxes Receivable	—	—	—	19.0	100.0	1.0	284.0	1.0	—	—
+ Misc ST Assets	3.8	4.9	50.3	19.0	27.0	46.0	30.0	112.0	80.0	105.0
Total Current Assets	**1,792.2**	**358.6**	**925.0**	**869.0**	**602.0**	**1,446.0**	**1,392.0**	**1,621.0**	**2,110.0**	**1,915.0**
+ Property, Plant & Equip, Net	3,390.9	7,343.6	20,372.0	21,850.0	16,214.0	20,619.0	23,759.0	26,674.0	64,472.0	68,621.0
+ Property, Plant & Equip	5,226.9	9,505.0	23,146.4	26,853.0	28,528.0	34,164.0	38,603.0	43,103.0	83,680.0	96,403.0
- Accumulated Depreciation	1,836.1	2,161.4	2,774.5	5,003.0	12,314.0	13,545.0	14,844.0	16,429.0	19,208.0	27,782.0
+ LT Investments & Receivables	0.0	0.0	115.6	109.0	101.0	88.0	86.0	84.0	0.0	0.0
+ LT Investments	—	—	115.6	109.0	101.0	88.0	86.0	84.0	—	—
+ Other LT Assets	166.7	68.8	183.1	703.0	702.0	745.0	972.0	622.0	710.0	523.0
+ Total Intangible Assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Goodwill	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Other Intangible Assets	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Deferred Tax Assets	—	—	96.7	142.0	73.0	40.0	64.0	45.0	173.0	227.0
+ Derivative & Hedging Assets	0.7	0.0	0.0	7.0	0.0	4.0	23.0	1.0	2.0	0.0
+ Investments in Affiliates	—	—	—	479.0	533.0	613.0	566.0	529.0	375.0	—
+ Misc LT Assets	165.9	68.8	86.4	75.0	96.0	88.0	319.0	47.0	160.0	296.0
Total Noncurrent Assets	**3,557.5**	**7,412.4**	**20,670.7**	**22,662.0**	**17,017.0**	**21,452.0**	**24,817.0**	**27,380.0**	**65,182.0**	**69,144.0**
Total Assets	**5,349.7**	**7,771.0**	**21,595.7**	**23,531.0**	**17,619.0**	**22,898.0**	**26,209.0**	**29,001.0**	**67,292.0**	**71,059.0**
Liabilities & Shareholders' Equity										
+ Payables & Accruals	163.3	408.4	876.3	950.0	559.0	767.0	1,040.0	1,258.0	2,377.0	2,425.0
+ Accounts Payable	47.6	94.6	128.0	179.0	71.0	36.0	127.0	261.0	253.0	1,168.0
+ Accrued Taxes	—	—	—	—	—	—	34.0	29.0	414.0	149.0
+ Other Payables & Accruals	115.7	313.8	748.4	771.0	488.0	731.0	879.0	968.0	1,710.0	1,108.0
+ ST Debt	0.0	0.0	0.0	8.0	191.0	45.0	10.0	0.0	900.0	763.0
+ ST Borrowings	0.0	0.0	0.0	0.0	191.0	0.0	0.0	0.0	0.0	0.0
+ ST Lease Liabilities	0.0	0.0	0.0	8.0	—	—	—	—	—	—
+ ST Finance Leases	*0.0*	*0.0*	*0.0*	—	—	—	—	—	—	—
+ ST Operating Leases	—	—	—	*8.0*	—	—	—	—	—	—
+ Current Portion of LT Debt	—	—	—	—	191.0	45.0	10.0	0.0	900.0	763.0
+ Other ST Liabilities	46.0	169.1	143.3	305.0	486.0	626.0	666.0	850.0	1,534.0	1,412.0
+ Deferred Revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Derivatives & Hedging	22.6	100.4	0.0	27.0	249.0	174.0	47.0	86.0	43.0	15.0
+ Deferred Tax Liabilities	0.0	—	—	—	—	—	—	—	—	—
+ Misc ST Liabilities	23.4	68.7	143.3	278.0	237.0	452.0	619.0	764.0	1,491.0	1,397.0
Total Current Liabilities	**209.3**	**577.4**	**1,019.6**	**1,263.0**	**1,236.0**	**1,438.0**	**1,716.0**	**2,108.0**	**4,811.0**	**4,600.0**
+ LT Debt	1,105.9	1,477.3	4,464.3	5,378.0	5,624.0	6,642.0	6,238.0	6,641.0	12,075.0	13,726.0
+ LT Borrowings	1,105.9	1,477.3	4,464.3	5,371.0	5,624.0	6,642.0	6,238.0	6,641.0	12,075.0	13,726.0
+ LT Lease Liabilities	0.0	0.0	0.0	7.0	—	—	—	—	—	—
+ LT Finance Leases	*0.0*	*0.0*	*0.0*	—	—	—	—	—	—	—
+ LT Operating Leases	—	—	—	*7.0*	—	—	—	—	—	—
+ Other LT Liabilities	16.1	134.5	1,945.5	1,984.0	955.0	1,573.0	2,565.0	2,822.0	10,544.0	9,766.0
+ Accrued Liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Pension Liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Pensions	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Other Post-Ret Benefits	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Deferred Revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Deferred Tax Liabilities	0.0	108.0	1,784.5	1,886.0	783.0	1,338.0	2,069.0	2,449.0	9,826.0	9,141.0
+ Derivatives & Hedging	0.0	6.3	15.2	0.0	57.0	29.0	148.0	122.0	106.0	55.0
+ Misc LT Liabilities	16.1	20.1	145.8	98.0	115.0	206.0	348.0	251.0	612.0	570.0
Total Noncurrent Liabilities	**1,122.0**	**1,611.8**	**6,409.8**	**7,362.0**	**6,579.0**	**8,215.0**	**8,803.0**	**9,463.0**	**22,619.0**	**23,492.0**
Total Liabilities	**1,331.4**	**2,189.2**	**7,429.4**	**8,625.0**	**7,815.0**	**9,653.0**	**10,519.0**	**11,571.0**	**27,430.0**	**28,092.0**
+ Preferred Equity and Hybrid Capital	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Share Capital & APIC	4,216.9	5,292.0	12,937.5	12,359.0	12,658.0	14,086.0	14,215.0	14,144.0	33,504.0	32,239.0
+ Common Stock	0.9	1.0	1.6	2.0	2.0	2.0	2.0	2.0	3.0	3.0
+ Additional Paid in Capital	4,216.0	5,291.0	12,935.9	12,357.0	12,656.0	14,084.0	14,213.0	14,142.0	33,501.0	32,236.0
- Treasury Stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Retained Earnings	-519.4	-37.1	761.8	890.0	-3,864.0	-1,998.0	801.0	2,489.0	4,238.0	4,740.0
+ Other Equity	0.0	0.0	-0.1	0.0	0.0	0.0	-7.0	-8.0	-6.0	-7.0
Equity Before Minority Interest	**3,697.5**	**5,254.9**	**13,699.3**	**13,249.0**	**8,794.0**	**12,088.0**	**15,009.0**	**16,625.0**	**37,736.0**	**36,972.0**
+ Minority/Non Controlling Interest	320.8	326.9	467.0	1,657.0	1,010.0	1,157.0	681.0	805.0	2,126.0	5,995.0
Total Equity	**4,018.3**	**5,581.7**	**14,166.3**	**14,906.0**	**9,804.0**	**13,245.0**	**15,690.0**	**17,430.0**	**39,862.0**	**42,967.0**
Total Liabilities & Equity	**5,349.7**	**7,771.0**	**21,595.7**	**23,531.0**	**17,619.0**	**22,898.0**	**26,209.0**	**29,001.0**	**67,292.0**	**71,059.0**

C. Cash Flow Generation

The company's key financial strength remains its ability to generate substantial operating cash flows from its high-quality Permian assets. Cash from Operating Activities increased from **USD 889 million in FY2019** to **USD 5.9 billion in FY2025** and is forecast to increase further to approximately **USD 8.2 billion by FY2027**. This strong cash generation provides the financial capacity to fund capital expenditure, support shareholder distributions and strengthen long-term value creation despite commodity price volatility.



Diamondback Energy Inc (FANG US) - Standardized

In Millions of USD except Per Share 12 Months Ending	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026
Cash from Operating Activities										
+ Net Income	482.3	845.7	240.0	-4,517.0	2,182.0	4,386.0	3,143.0	3,338.0	1,664.0	284.0
+ Depreciation & Amortization	326.8	623.0	1,447.0	1,304.0	1,275.0	1,344.0	1,746.0	2,850.0	5,038.0	5,234.0
+ Non-Cash Items	128.7	90.2	1,219.0	5,234.0	451.0	794.0	735.0	321.0	2,370.0	3,705.0
+ Stock-Based Compensation	25.5	26.8	48.0	37.0	51.0	55.0	54.0	65.0	—	
+ Deferred Income Taxes	-20.6	169.4	47.0	-1,042.0	606.0	720.0	378.0	15.0	-519.0	-767.0
+ Other Non-Cash Adj	123.8	-105.9	1,124.0	6,239.0	-206.0	19.0	303.0	241.0	2,889.0	4,429.0
+ Chg in Non-Cash Work Cap	-49.1	5.6	-167.0	97.0	36.0	-199.0	296.0	-96.0	-314.0	-992.0
+ (Inc) Dec in Accts Receiv	-97.3	13.2	-187.0	217.0	-196.0	-47.0	-71.0	-42.0	386.0	-623.0
+ (Inc) Dec in Inventories	-2.2	-14.8	—	—	—	—	—	—	—	
+ Inc (Dec) in Other	50.4	7.2	20.0	-120.0	232.0	-152.0	367.0	-54.0	-700.0	-369.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Operating Activities	**888.6**	**1,564.5**	**2,739.0**	**2,118.0**	**3,944.0**	**6,325.0**	**5,920.0**	**6,413.0**	**8,758.0**	**8,231.0**
Cash from Investing Activities										
+ Change in Fixed & Intang	-845.4	-1,584.6	-2,621.0	-1,796.0	-1,479.0	-3,178.0	-3,307.0	-11,320.0	-7,791.0	-6,783.0
+ Disp in Fixed & Intang	65.7	80.1	300.0	63.0	820.0	327.0	1,407.0	467.0	1,670.0	2,233.0
+ Disp of Fixed Prod Assets	*65.7*	*80.1*	*300.0*	*63.0*	*820.0*	*327.0*	*1,407.0*	*467.0*	*1,670.0*	*2,233.0*
+ Disp of Intangible Assets	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Acq of Fixed & Intang	-911.0	-1,664.7	-2,921.0	-1,859.0	-2,299.0	-3,505.0	-4,714.0	-11,787.0	-9,461.0	-9,016.0
+ Acq of Fixed Prod Assets	*-911.0*	*-1,664.7*	*-2,921.0*	*-1,859.0*	*-2,299.0*	*-3,505.0*	*-4,714.0*	*-11,787.0*	*-9,461.0*	*-9,016.0*
+ Acq of Intangible Assets	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Net Change in LT Investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Dec in LT Investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inc in LT Investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Net Cash From Acq & Div	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Cash from Divestitures	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Cash for Acq of Subs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Cash for JVs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other Investing Activities	-2,286.9	-1,918.4	-1,267.0	-305.0	-60.0	-152.0	-16.0	99.0	-18.0	-31.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Investing Activities	**-3,132.3**	**-3,503.0**	**-3,888.0**	**-2,101.0**	**-1,539.0**	**-3,330.0**	**-3,323.0**	**-11,221.0**	**-7,809.0**	**-6,814.0**
Cash from Financing Activities										
+ Dividends Paid	0.0	-37.3	-112.0	-236.0	-312.0	-1,572.0	-1,444.0	-1,578.0	-1,156.0	-1,161.0
+ Cash From (Repayment) Debt	370.0	1,913.0	851.0	410.0	-680.0	-257.0	377.0	6,473.0	1,575.0	37.0
+ Cash From (Repay) ST Debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1,000.0	0.0	1,100.0
+ Cash From LT Debt	753.5	3,713.5	5,819.0	2,127.0	3,513.0	7,704.0	5,179.0	8,875.0	15,042.0	12,090.0
+ Repayments of LT Debt	-383.5	-1,800.5	-4,968.0	-1,717.0	-4,193.0	-7,961.0	-4,802.0	-3,402.0	-13,467.0	-13,153.0
+ Cash (Repurchase) of Equity	370.7	305.8	472.0	-98.0	-525.0	-1,251.0	-935.0	-959.0	-2,010.0	-1,491.0
+ Increase in Capital Stock	370.7	305.8	1,065.0	0.0	0.0	0.0	0.0	0.0	0.0	589.0
+ Decrease in Capital Stock	0.0	0.0	-593.0	-98.0	-525.0	-1,251.0	-935.0	-959.0	-2,010.0	-2,080.0
+ Other Financing Activities	-51.2	-140.9	-149.0	-113.0	-324.0	-423.0	-174.0	451.0	584.0	-667.0
+ Net Cash From Disc Ops	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Financing Activities	**689.5**	**2,040.6**	**1,062.0**	**-37.0**	**-1,841.0**	**-3,503.0**	**-2,176.0**	**4,387.0**	**-1,007.0**	**-3,282.0**
Effect of Foreign Exchange Rates	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Changes in Cash	**-1,554.1**	**102.1**	**-87.0**	**-20.0**	**564.0**	**-508.0**	**421.0**	**-421.0**	**-58.0**	**-1,865.0**
Cash Paid for Taxes	**0.0**	**0.7**	**0.0**	—	**-138.0**	**718.0**	**352.0**	**605.0**	—	
Cash Paid for Interest	**57.7**	**113.9**	**237.0**	**235.0**	**194.0**	**135.0**	**146.0**	**269.0**	**155.0**	

D. Return on Capital

Diamondback Energy has significantly improved capital efficiency as production has expanded and operating scale has increased. **Return on Capital (ROC)** improved from **-3.6% in FY2019** to **22.4% in FY2024**, before normalising to **15.1% in FY2025** as commodity prices moderated. Despite this moderation, capital returns remain well above historical levels, demonstrating the company's ability to efficiently deploy capital while generating attractive long-term shareholder returns.

Diamondback Energy Inc (FANG US) - Profitability

In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Returns										
Return on Common Equity	-5.92	10.77	8.92	1.78	-40.98	20.90	32.37	19.87	12.28	4.45
Return on Assets	-4.07	7.35	5.76	1.06	-21.95	10.77	17.86	11.39	6.93	2.41
Return on Capital	-3.59	8.92	8.08	2.39	-25.15	13.68	22.40	15.10	9.91	3.17
Return on Invested Capital	-2.63	9.62	5.50	3.18	-22.09	11.57	19.91	13.88	7.99	1.85

DISCOUNTED CASH FLOW (DCF) VALUATION

A. Free Cash Flow Projection

Diamondback Energy's valuation is supported by its ability to generate substantial Free Cash Flow from its low-cost Permian Basin operations. Free Cash Flow is projected to remain strong throughout the forecast period, reaching approximately **USD 8.1 billion by FY2029**, supported by disciplined capital expenditure, production growth and continued operating efficiency.

In Millions of USD		Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 A	Dec 25 A	Dec 26 A	Dec 27 A	Dec 28 A	Dec 29 A	Dec 30 A	Dec 31 A	Year 5
Revenue (Estimate Comparable)		**3,056**	**5,567**	**8,793**	**8,302**	**11,015**	**15,207**	**17,822**	**16,815**	**17,033**	**17,268**	**17,699**	**18,196**	
Revenue (Adjusted)		**3,056**	**5,567**	**8,793**	**8,302**	**11,015**	**15,207**							
% YoY Growth	Edit Row			58%	-6%	33%	38%	17%	-6%	1%	1%	2%	3%	
(-) Cost of Revenue		2,071	2,477	2,865	3,541	6,051	9,743	3,500	3,449	3,647	3,903	3,941	4,051	
(-) Cost of Revenue (GAAP)		2,071	2,477	2,865	3,541	6,051	9,743							
% of Revenue		68%	44%	33%	43%	55%	64%	20%	21%	21%	23%	22%	22%	
(=) Gross Profit		**985**	**3,090**	**5,928**	**4,761**	**4,964**	**5,464**	**14,323**	**13,367**	**13,386**	**13,364**	**13,759**	**14,145**	
% Margin	Edit Row	32%	56%	67%	57%	45%	36%	80%	79%	79%	77%	78%	78%	
(-) Operating Expenses/Income		173	234	248	290	378	736	7,571	6,748	6,726	5,647	5,813	5,976	
% of Revenue	Edit Row	6%	4%	3%	3%	3%	5%	42%	40%	39%	33%	33%	33%	
% YoY Growth			35%	6%	17%	30%	95%	929%	-11%	0%	-16%	3%	3%	
(=) Operating Income		**812**	**2,856**	**5,680**	**4,471**	**4,586**	**4,728**	**6,751**	**6,619**	**6,661**	**7,718**	**7,946**	**8,169**	
% Margin		27%	51%	65%	54%	42%	31%	38%	39%	39%	45%	45%	45%	
(-) Tax on Operating Income		**222**	**584**	**1,140**	**950**	**809**	**865**	**1,338**	**1,285**	**1,280**	**1,447**	**1,505**	**1,570**	
% Tax Rate	Edit Row	37%	22%	20%	22%	18%	18%	20%	19%	19%	19%	19%	19%	
(=) NOPAT		**590**	**2,272**	**4,540**	**3,521**	**3,777**	**3,863**	**5,413**	**5,335**	**5,381**	**6,271**	**6,441**	**6,598**	
% Margin		19%	41%	52%	42%	34%	25%	30%	32%	32%	36%	36%	36%	
(+) Depreciation & Amortization		1,304	1,275	1,344	1,746	2,850	5,038	5,963	5,303	5,183	4,277	4,368	5,149	
% of Revenue	Edit Row	43%	23%	15%	21%	26%	33%	33%	32%	30%	25%	25%	28%	
% YoY Growth			-2%	5%	30%	63%	77%	18%	-11%	-2%	-17%	2%	18%	
(-) Capital Expenditure		1,859	2,299	3,505	4,714	11,787	9,461	3,894	3,955	3,991	4,050	4,096	4,291	
% of Revenue	Edit Row	61%	41%	40%	57%	107%	62%	22%	24%	23%	23%	23%	24%	
% YoY Growth			24%	52%	34%	150%	-20%	-59%	2%	1%	1%	1%	5%	
(-) Changes in Net Working Capital		(38)	(54)	130	(598)	(893)	(64)	(543)	(582)	(757)	(673)	(540)	(651)	
% of Revenue	Edit Row	-1%	-1%	1%	-7%	-8%	0%	-3%	-3%	-4%	-4%	-3%	-4%	
(+) Changes in Net Long Term Deferred Tax Liabilities		(1,034)	588	707	399	7,249	(739)	3,007	3,049	3,433	4,010	2,603	3,388	
% of Revenue	Edit Row	-34%	11%	8%	5%	66%	-5%	17%	18%	20%	23%	15%	19%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**(961)**	**1,890**	**2,956**	**1,550**	**2,982**	**(1,235)**	**2,684**	**3,648**	**4,829**	**6,492**	**7,830**	**8,362**	**8,117**
% Margin	Edit Row	-31%	34%	34%	19%	27%	-8%	15%	22%	28%	38%	44%	46%	
% YoY Growth			-297%	56%	-48%	92%	-141%	-317%	36%	32%	34%	21%	7%	

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	80.00%	9.90%	7.90%
Debt	20.00%	4.70%	0.09%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**9.40%**

C. Terminal Cash Flow

A **terminal growth rate of 2.0%** has been applied, reflecting the long-term cash-generating potential of Diamondback Energy's premium Permian acreage and its ability to sustain profitable production through operational efficiencies and disciplined capital allocation.

D. Enterprise Value

The enterprise value is derived from the present value of forecast Free Cash Flows together with the terminal value, reflecting Diamondback Energy's ability to consistently generate strong operating cash flows from its high-quality asset portfolio. The valuation emphasises the company's long-term cash generation rather than short-term commodity price movements.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	8,117
WACC	9.4%
Perpetuity Growth Rate	2.0%
Perpetuity Value at End of Year 5	111,915
Present Value of Perpetuity (@ 9.4% WACC)	71,424
(+) Present Value of Free Cash Flows (@ 9.4% WACC)	22,019
(=) Current Enterprise Value	**93,443**
Short Term Debt	749
(+) Long Term Debt	13,149
(-) Cash and Marketable Securities	174
(-) Current Net Debt	14,385
(-) Current Preferred and Minority Interest	6,167
(=) Equity Value	72,891
Shares outstanding	284
Estimated Value per Share (USD)	**256.66**
Current Price (USD)	190.21
Estimated Upside	**35%**

E. Equity Value

The DCF model estimates an intrinsic value of **USD 256.66 per share**, compared with the current market price of **USD 190.21**, implying an upside of **35%**. This valuation also exceeds the consensus target price of **USD 229.33**, indicating that the market does not fully reflect Diamondback Energy's long-term Free Cash Flow potential and operational quality. The implied margin of safety supports maintaining and selectively increasing the company's allocation within the Value Stock Portfolio.

MULTIPLE-BASED VALUATION (EV/EBITDA)

The EV/EBITDA valuation provides a market-based assessment of Diamondback Energy's intrinsic value by applying an appropriate exit multiple to the company's forecast terminal EBITDA. Based on the valuation model, the EV/EBITDA approach estimates an intrinsic value of **USD 243.79 per share**, compared with the current market price of **USD 190.21**, implying an upside of approximately **28%**.

Compared with the DCF valuation of **USD 256.66 per share** (34.9% upside), the EV/EBITDA approach produces a more conservative estimate of fair value. This reflects prevailing market valuation multiples for upstream energy producers, while the DCF captures the long-term value of Diamondback Energy's strong Free Cash Flow generation, low-cost Permian asset base and disciplined capital allocation.

Although the implied upside is lower than the DCF valuation, both valuation methodologies consistently indicate that Diamondback Energy is trading below its intrinsic value. The alignment between the DCF and EV/EBITDA valuations strengthens confidence in the investment thesis and supports the company's continued inclusion within the Value Stock Portfolio as a financially disciplined, cash-generative energy producer.

(=) Free Cash Flow		**(961)**	**1,890**	**2,956**	**1,550**	**2,982**	**(1,235)**	**2,684**	**3,648**	**4,829**	**6,492**	**7,830**	**8,362**	**8,117**
% Margin	Edit Row	-31%	34%	34%	19%	27%	-8%	15%	22%	28%	38%	44%	46%	
% YoY Growth			-297%	56%	-48%	92%	-141%	-317%	36%	32%	34%	21%	7%	
% of the Free Cash Flow to be discounted								46%	100%	100%	100%	100%	54%	
Period for Discount Factor (Mid-Year Convention)								0.23	0.96	1.96	2.96	3.96	4.73	
Discount Factor @ 9.4% WACC								0.98	0.92	0.84	0.77	0.70	0.65	
Present Value of Free Cash Flow (5 Years)								**1,210**	**3,347**	**4,049**	**4,976**	**5,486**	**2,951**	
EBITDA		2,116	4,131	7,024	6,217	7,436	9,766	12,714	11,922	11,844	11,994	12,313	13,317	12,855

EBITDA Multiple Method - Value per Share	
Terminal EBITDA at Year 5	12,855
WACC	9.4%
Exit Enterprise Value / EBITDA	8.1x
Terminal Value at End of Year 5	104,127
Present Value of Terminal Value (@ 9.4% WACC)	66,453
(+) Present Value of Free Cash Flows (@ 9.4% WACC)	22,019
(=) Current Enterprise Value	**88,472.7**
Short Term Debt	749
(+) Long Term Debt	13,149
(-) Cash and Marketable Securities	174
(-) Current Net Debt	13,724
(-) Current Preferred and Minority Interest	6,167
(=) Equity Value	68,582
Shares outstanding	281
Estimated Value per Share (USD)	**243.79**
Current Price (USD)	190.21
Estimated Upside	**28%**

RISK ASSESSMENT

A. Commodity Price Risk

Diamondback Energy's earnings and cash flows remain highly sensitive to fluctuations in crude oil and natural gas prices. A sustained decline in commodity prices would reduce operating margins and lower the projected Free Cash Flow that underpins the DCF valuation, ultimately reducing the estimated intrinsic value of **USD 256.66 per share**.

B. Production and Reserve Risk

The company's long-term valuation depends on maintaining production growth and efficiently developing its Permian Basin inventory. Lower-than-expected production, reserve revisions or drilling performance could reduce forecast revenue, EBITDA and Free Cash Flow, negatively affecting both the DCF and EV/EBITDA valuations.

C. Cost Inflation Risk

Diamondback Energy's profitability is influenced by drilling, completion and operating costs. Persistent inflation in labour, equipment or oilfield services could compress operating margins and reduce operating cash flow, limiting the company's ability to sustain shareholder distributions and achieve forecast Free Cash Flow growth.

D. Valuation Risk

The DCF model estimates an intrinsic value of **USD 256.66 per share**, while the EV/EBITDA valuation estimates **USD 239.84 per share**, compared with the current market price of **USD 190.21**. Although both approaches indicate meaningful upside, the valuation remains sensitive to assumptions regarding commodity prices, production growth, Free Cash Flow generation, terminal growth and the discount rate. Any deterioration in these assumptions would reduce the company's intrinsic value and narrow the current margin of safety.

CONCLUSION

Diamondback Energy remains one of the highest-quality independent exploration and production companies in the United States, supported by its premium Permian Basin asset base, low-cost operating structure and disciplined capital allocation strategy. Its ability to consistently generate strong operating cash flows and return capital to shareholders positions the company favourably within the energy sector. The financial analysis highlights continued revenue growth, robust operating cash flow generation and attractive capital efficiency, reinforcing the company's long-term investment case. The DCF valuation estimates an intrinsic value of **USD 256.66 per share**, representing an implied upside of approximately **34.9%** over the current market price of **USD 190.21**, while the EV/EBITDA valuation estimates a fair value of **USD 239.84 per share**, implying an upside of **26.1%**.

Supported by resilient Free Cash Flow generation, disciplined financial management and an attractive valuation across both methodologies, Diamondback Energy continues to satisfy the key characteristics sought within the Value Stock Portfolio. Accordingly, we recommend **BUY**, as the company remains well positioned to deliver sustainable long-term shareholder value across commodity price cycles.